

Cautious Money

Investment advisors say the young investor group is using technology to manage risk. They are not just tech-savvy, but data-rational as well

BY AMIT MUDGILL

163

A RECENT INTERACTION WITH a 24-year-old Gen Z client surprised Goa-based investment advisor Upasana Mondal. The young information technology (IT) professional, who had just received his first bonus, used artificial intelligence (AI) to simulate the outcome of a 10-year portfolio, comparing the performance of a crypto asset with that of an index fund, to find out where he should invest.

A few years ago, a client of that age would typically have bought a crypto asset for the fear of missing out, or simply purchased stocks suggested by social media influencers, says Mondal, the founder of financial advisory DreamBlueprintz.

Mondal says members of the Gen Z are using technology for

investment choices, showing they are not just tech-savvy, but data-rational as well.

India's Gen Z or Zoomers, the generation born between mid-to-late 1990s and early 2010s, succeeding the Millennials, are maturing as investors in an economy shaped by a digital-first environment and unprecedented access to financial products. Surprisingly, they are preferring capital appreciation over quick returns promised by riskier investments like crypto assets; they are hedging against inflation and currency depreciation through gold while using systematic investment plans (SIPs) as a form of rupee cost averaging to manage equity volatility.

Take 22-year-old Shivam Mishra. The New Delhi-based investor says he saves around 20% of his salary. Out of this, half goes to SIPs in mutual funds. The 22-year-

▶ **Their portfolio preferences suggest an attempt to hedge against inflation through equity exposure**